ARP – Workshop 3

# Practice questions - solutions

# Past paper question - REMOLK

**Requirement 1**

IFRS 10 *Consolidated Financial Statements* defines a subsidiary as an entity that is controlled by another entity.

Remolk controls Espero and should include it as a subsidiary in the consolidated financial statements because:

- It has the right to appoint the majority of the board of directors of Espero (five out of nine directors) and thus has power over the company.
- It is exposed to variable returns on its investment as its returns are dependent on Espero's profits.

- It controls the board and the board makes key operating decisions, meaning Remolk can use its power to affect the returns from Espero.

**(Total: 4 marks)**

**Requirement 2**

*Issue of shares*

The shares should be recorded at their fair value at the date of acquisition, split between share capital and share premium, and added to the cost of the investment in Espero.

| | | | | |
|---|---|---|---|---|
| **JE 1** | Dr | Investment | 700 | |
| | Cr | Share capital (200k x 25p) | | 50 |
| | Cr | Share premium | | 650 |
| | Being issue of shares as part consideration | | | |

*Costs of acquisition*

The costs relating to the share issue should be debited to share premium and should not be included in the cost of the investment.

The remaining costs of acquisition should be charged to profit or loss. They should not be included in the cost of the investment.

| | | | | |
|---|---|---|---|---|
| **JE 2** | Dr | Share premium | 25 | |
| | Dr | SPL – administrative expenses (or similar) | 65 | |
| | Cr | Accruals / payables | | 90 |

Being expenses of acquisition

**(Total: 5 marks)**

**Requirement 3**

*Espero - new subsidiary*

*Step 2 – goodwill and NCI at acquisition*

Total cost of acquisition = £4,400k cash + £700k shares **(JE 1)** = £5,100k

| | *£'000* | £'000 |
|---|---|---|
| Cost | | 5,100 |
| NCI (60% x £9,200k) | | 5,520 |
| | | 10,620 |
| Share capital | 3,000 | |
| Retained earnings | 6,200 | |
| | | 9,200 |
| Goodwill | | 1,420 |

| | | | | |
|---|---|---|---|---|
| **JE 3** | Dr | Share capital | 3,000 | |
| | Dr | Retained earnings | 6,200 | |
| | Dr | Goodwill | 1,420 | |
| | | Cr Investment | | 5,100 |
| | | Cr SOFP – NCI | | 5,520 |
| | Being goodwill and NCI at date of acquisition | | | |

*Verclad - existing subsidiary*

*Step 2* – goodwill at the date of acquisition (already recorded)

*Step 3* - impairment of goodwill (not required as no impairment)

*Step 4* - NCI share of prior year gains (not required as fully owned in prior year)

*Step 5* – NCI share of profit and gains for the period

NCI share of profit after partial disposal = (£260k x 3/12) x 30% = £20k (rounded)

| | | | | |
|---|---|---|---|---|
| **JE 4** | Dr | SPL - NCI | 20 | |
| | | Cr SOFP - NCI | | 20 |
| | Being NCI share of profit for the period | | | |

*Step 6 – partial disposal*

| | £'000 | £'000 |
|---|---|---|
| Proceeds of sale | | 7,400 |
| Net assets disposed: | | |
| Share capital | 2,000 | |
| Retained earnings | 9,600 | |
| Revaluation surplus | 5,100 | |
| | 16,700 | |
| 30% x £16.7m | | 5,010 |
| Gain on partial disposal | | 2,390 |

| | | | | |
|---|---|---|---|---|
| **JE 5** | Dr | SPL - Revenue | 7,400 | |
| | Cr | SOFP - NCI | | 5,010 |
| | Cr | Retained earnings | | 2,390 |
| | Being correction to gain on partial disposal | | | |

*Step 6 – internal dividend*

*Note: the dividend was paid after the sale of shares, therefore there is an NCI element.*

Group share = £120k x 70% = £84k
NCI share = £120k x 30% = £36k

| | | | | |
|---|---|---|---|---|
| **JE 6** | Dr | SPL – dividend income | 84 | |
| | Dr | SOFP – NCI | 36 | |
| | Cr | Retained earnings | | 120 |
| | Being elimination of internal dividend | | | |

*Boccana - associate*

*Step 1 – calculation of goodwill/bargain purchase*

As no bargain purchase arose there is no journal entry required.

*Step 2 – share of historical change in retained earnings*

| | *£'000* |
|---|---|
| Retained earnings at 28 February 2024 | 430 |
| Retained earnings at acquisition | 175 |
| Increase | 255 |
| Group share – 25% | 64 |

| | | | | |
|---|---|---|---|---|
| **JE 7** | Dr | Investment in associate | 64 | |
| | Cr | Retained earnings | | 64 |
| | Being group share of historical increase in associate's retained earnings | | | |

*Step 3 - group share of associate's profit for the year*

Group share = £80k x 25% = £20k

| | | | | |
|---|---|---|---|---|
| **JE 8** | Dr | Investment in associate | 20 | |
| | Cr | SPL – share of profit of associate | | 20 |
| | Being group share of profit of associate | | | |

*Step 4 – elimination of internal transactions*

Group share of unrealised profit = 25% x £92k = £23k

| | | | | |
|---|---|---|---|---|
| **JE 9** | Dr | SPL - share of profit of associate | 23 | |
| | Cr | Inventories | | 23 |
| | | Being elimination of unrealised profit | | |

*Final step*

| Journal | *£'000* | |
|---|---|---|
| 2 | 65 | Dr |
| 4 | 20 | Dr |
| 5 | 7,400 | Dr |
| 6 | 84 | Dr |
| 8 | (20) | Cr |
| 9 | 23 | Dr |
| | 7,572 | Dr |

| | | | | |
|---|---|---|---|---|
| **JE 10** | Dr | Retained earnings | 7,572 | |
| | Cr | SPL | | 7,572 |
| | | Being transfer of adjustments to retained earnings | | |

**(Total: 23 marks)**

**QUESTION 9: Prepare the equity section of the consolidated statement of financial position of Remolk as at 28 February 2025 (6 marks)**

| | *Remolk £'000* | *Verclad £'000* | *Espero £'000* | *STEP 2 per Q £'000* | *JE 1 £'000* | *JE 2 £'000* | *JE 3 £'000* | *JE 4 £'000* | *JE 5 £'000* | *JE 6 £'000* | *JE 7 £'000* | *JE 10 £'000* | *Total £'000* |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Equity section** | | | | | | | | | | | | | |
| Share capital | 20,000 | 2,000 | 3,000 | (2,000) | 50 | | (3,000) | | | | | | 20,050 |
| Share premium | 15,800 | - | - | - | 650 | (25) | | | | | | | 16,425 |
| Retained earnings | 18,760 | 9,545 | 6,200 | (4,300) | | | (6,200) | | 2,390 | 120 | 64 | (7,572) | 19,007 |
| Revaluation surplus | 5,200 | 5,100 | - | (3,500) | | | | | | | | | 6,800 |
| | | | | | | | | | | | | | 62,282 |
| Non-controlling interests | | | | | | | 5,520 | 20 | 5,010 | (36) | | | 10,514 |
| | | | | | | | | | | | | | 72,796 |

**(Total: 6 marks)**



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